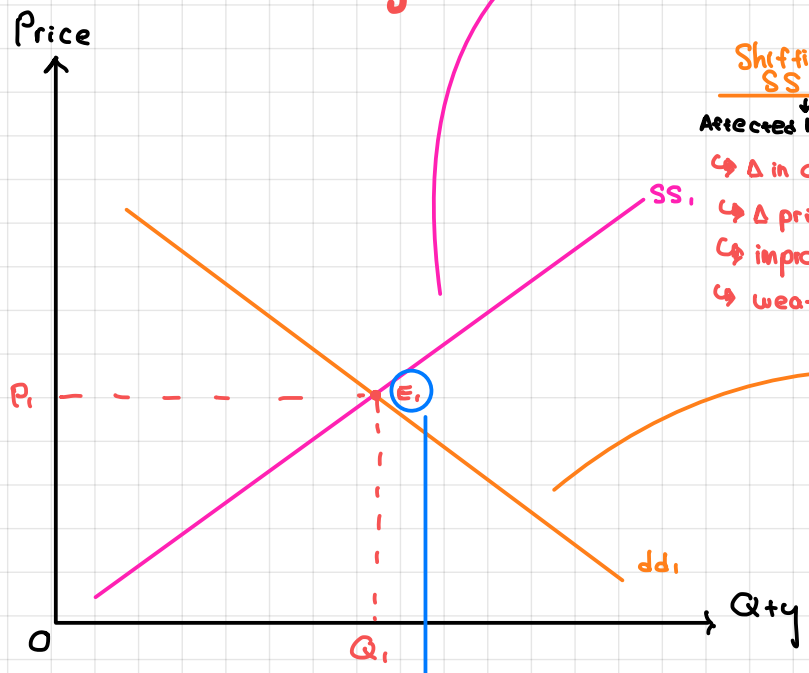
Demand ñ Supply



Supply Curve

→ Shows the direct relationship between price of the good ñ Qty producers are willing to produce at at that price (Qss)

↓

why?

↓

Firms are profit-max agents willing ñ able to produce more if they can earn more profits.

Shifting of SS Curve

↓

Affected by non-px factor

↳ Δ in cost of production

↳ Δ prices of related goods

↳ improvements in technology

↳ weather ñ envt.

Movement along the SS curve

↓

Affected by px

* ↑px → ↑Qss
* ↓px → ↓Qss

Demand Curve

→ Shows the inverse relationship between price of the good ñ Qty crs willing to consume at at that price. (Qdd)

↓

Why?

↓

Law of diminishing marginal utility.

↳ As a person consume more of a good/service the additional satisfaction they get frm each new unit ↓

Shifting of dd curve

↓

Affected by non-Px factors

↳ taste ñ preferences

↳ Price of substitutes/complements

↳ Δ $Y (income)

↳ Consumer expectations

Movement along the dd curve

↓

Affected by px

* ↑px → ↓Qdd
* ↓px → ↑Qdd

equilibrium

* it is where SS intersect dd curve.

↓

@ E₁

↓

no more surplus/shortage

↓

X Market forces

↓

Qty ñ Px no longer Δ.

Elasticity

① PED (px elasticity of dd)

↳ Measures how responsive Qdd of a good / service is to a change in px, ceteris paribus

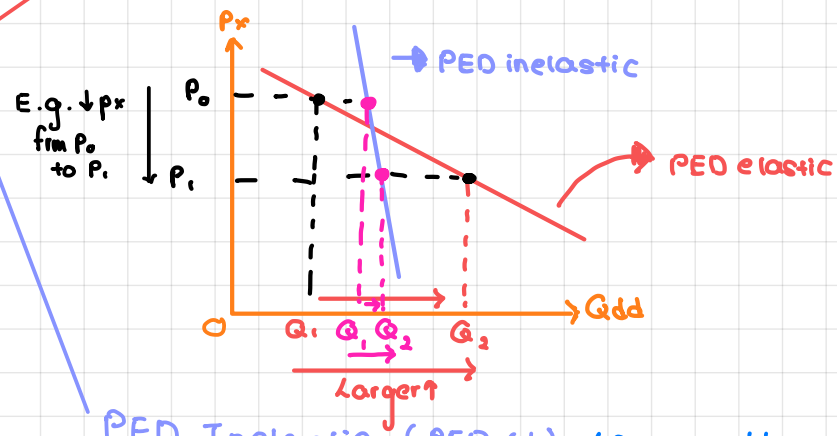
$$= \frac{\% \Delta Qdd}{\% \Delta px}$$

↳ **Factors that affect PED**

1. % of income ($Y)
2. Degree of necessity
3. no. / availability of substitutes

PED Elastic (PED > 1) (less steep dd curve)

↳ a ↓px lead to a more than proportionate ↑ Qdd.



PED Inelastic (PED < 1) (steeper dd curve)

↳ a ↓px lead to a less than proportionate ↑Qdd

② PES (px elasticity of supply)

↳ Measures how responsive Qss is to a Δ in px, ceteris paribus

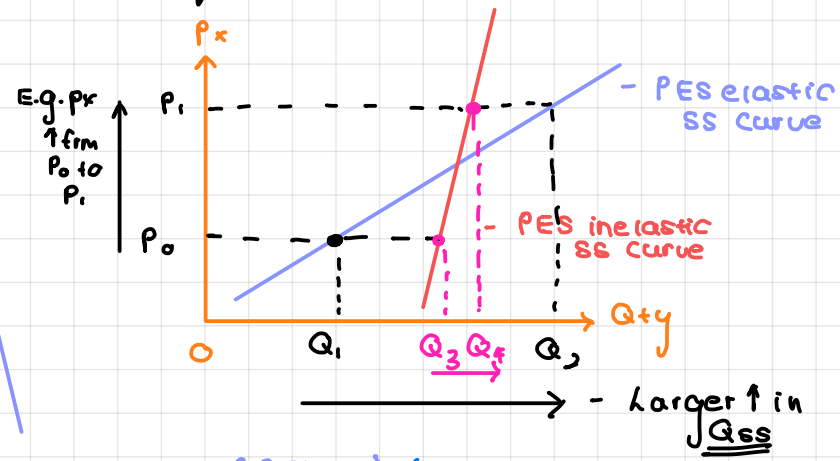
$$= \frac{\% \Delta Qss}{\% \Delta px}$$

↳ **Factors that affect PES**

1. Spare capacity → Resources x utilised.
2. Nature of production e.g. length of production period
3. Stocks / Inventories
4. Perishability

PES Inelastic (PES < 1) (steeper ss curve)

↳ a ↑ px, lead to a less than proportionate ↑ in Qss



PES Elastic (PED > 1) (less steep ss curve)

↳ a ↑px, lead to a more than proportionate ↑ in Qss

③ XED (cross elasticit of dd)

↳ measures the responsiveness of a dd of a good (good A) to a change in price of another good (good B), c.p.

$$= \frac{\% \Delta \text{ dd of good A}}{\% \Delta \text{ px of good B}}$$

XED > 0 = both goods are substitutes

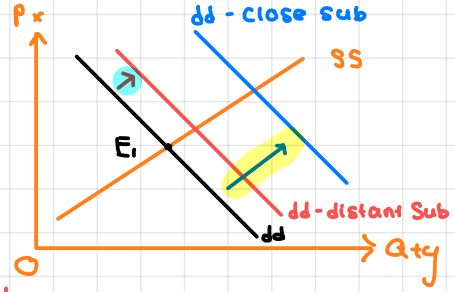
↳ ↑ px of good B, will lead to a ↑ dd of good A

goods that can be used in place of one another

Close substitutes

XED > 1

↳ a ↑ px of good B, lead to a more than proportionate ↑ in dd.



distant substitutes

0 < XED < 1

↳ a ↑ px of good B will lead to a less than proportionate ↑ dd of good A

XED < 0 = both goods are complements

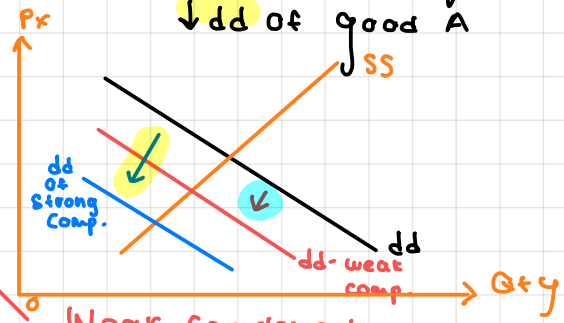
↳ a ↑ px of good B lead to a ↓ in dd of good A

goods that are consumed togther (goods in joint dd)

Strong complements

XED < -1

↳ a ↑ px of good B will lead to a more than proportionate ↓ dd of good A



Weak complements

-1 < XED < 0

↳ a ↑ px of good leads to a less than prop. ↓ in dd of good A

④ YED (income elasticity of dd)

↳ measures the responsiveness of demand of a good to a change in income, ceteris paribus

$$= \frac{\% \Delta Q_{dd}}{\% \Delta \text{ in income}}$$

Inferior goods

= dd moves in the opp. direction of \$Y

→ YED < 0

= a rise in \$Y will lead to a fall in dd of the inferior goods.

= a ↓ in \$Y will lead to a ↑ in dd of the inferior goods.

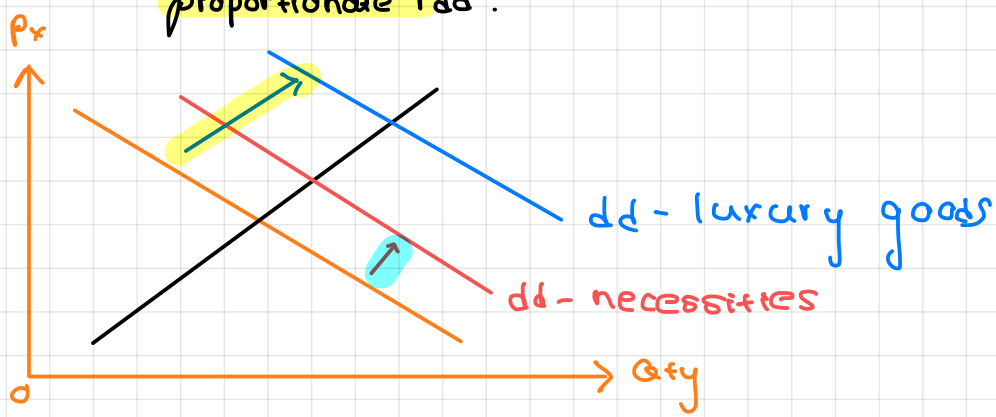
Normal goods

= dd move in the same direction as \$Y.

→ **Luxury goods**

YED > 1

* a ↑ \$Y, will lead to a more than proportionate ↑ dd.



→ **Necessities ; 0 < YED < 1**

* a ↑ \$Y will lead to a less than prop. ↑ dd.